

complaint

Mr A complained about Zenith Insurance plc handling of his car insurance policy in relation to two separate claims.

background

On 20 June, 2015, Mr A hit another car from behind. Mr A says the other car was at fault. The other car's driver started court action against Mr A and Zenith. Zenith appointed an insurance investigator to look into the circumstances of the accident and also got advice from a solicitor saying the chances of successfully defending the claim were under 50%. Zenith therefore settled the other driver's claim before it went to court.

Mr A says that his car was stolen sometime between the evening of 20 June and the morning of 21 June, 2015. The car was recovered damaged and Mr A claimed under his policy. Zenith appointed an insurance investigator who prepared a report. The conclusion was that the theft claim was not credible given the inconsistent evidence. As a result, Zenith rejected Mr A's claim.

Mr A complained about Zenith's handling of both claims. In relation to the accident he says Zenith shouldn't have settled the claim as he wasn't at fault. He says Zenith failed to get evidence from a number of witnesses he put forward. He also says Zenith wrongly rejected his theft claim and accused him of being untruthful. He also felt there were unjustified delays.

In May, 2017, Zenith rejected Mr A's complaint saying the delays were not unjustified as they had to make enquiries and investigate properly. They also said in relation to the accident they made sufficient attempts to get witness statements from the witnesses Mr A put forward, but without success. And, given Mr A hit the other car from behind, the onus was on him to keep a safe distance. Zenith also said the decision to reject the theft claim was correct in light of their enquiries.

Mr A then complained to our service. Our investigator having looked at all the evidence also rejected the complaint and said:

- Zenith made efforts to get statements from the witnesses, but were unable to do so, which weakened his case.
- Zenith had the right under the policy to settle the accident claim with the third party and their decision in doing so was fair and reasonable.
- In relation to the theft claim, the policy entitled Zenith to reject a claim under the fraud provisions. The policy also placed an obligation on Mr A to disclose "*correct and complete information to the best of your knowledge and belief*" the failure of which "*may result in... refusal of a claim.*"
- The evidence and inconsistencies surrounding the theft claim were such that Zenith were fair and reasonable in rejecting the claim.

As Mr A didn't agree with the investigator the matter has been passed to me for decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. I appreciate this will be disappointing for Mr A but I agree with the adjudicator that the complaint should be rejected. I'll explain why.

accident claim

Mr A did provide the details of a number of potential witnesses to the accident he was involved in on 20 June. I have seen that Zenith did make efforts to contact and obtain statements from those witnesses. I also note that Zenith appointed a solicitor who gave advice about the claim. Initially, on the basis of what Mr A said, Zenith were prepared to defend the claim by the other driver and to go to court. But as all the evidence became available and the difficulties with the witnesses became apparent, the solicitor advised Zenith that the chances of successfully defending the claim in court were below 50%. As in most insurance policies, Mr A's policy also had a requirement that any claim should have "*reasonable prospects*" of success. Or, in other words, there must be a 51% or more chance of winning the court case. As Zenith's solicitor advised that this was not the case, I feel Zenith were within their right to settle the claim. I wouldn't expect them to go ahead with a case they were advised was unlikely to succeed.

The policy also gave Zenith the right to settle the claim. In exercising that right Zenith must act in a fair and reasonable way. And in this instance I feel they did. I therefore don't uphold this part of the complaint.

theft claim

Zenith appointed an expert insurance investigator to look into Mr A's theft claim. The investigation included the gathering of evidence, interviewing and taking a statement from Mr A. A detailed report was prepared at the end of the investigation which highlighted a number of inconsistencies in Mr A's evidence and raised concerns about his credibility.

In reaching their decision to reject the claim, I am satisfied Zenith took into consideration all the available evidence and the expert investigator's report. I feel their decision to reject the claim was fair and reasonable and in accordance with the policy terms. I therefore don't uphold this part of the complaint.

my final decision

For the reasons set out above I don't uphold this complaint against Zenith Insurance plc.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr A to accept or reject my decision before 8 February 2018.

Mehmet Osman
ombudsman